Ather Energy Ltd

Concall Tracker - Q2 FY27 update | Electric two-wheeler maker | NSE: ATHERENERG · BSE: 544397 | Report date: 06 November 2026 | Latest call read: Q2 FY27 (26 Oct 2026)

This report picks up from our Q1-2027 read of Ather. It deep-reads the one new earnings call (the "concall", where management walks investors through the quarter) and asks the same two questions: is there a durable reason profits should keep growing (an "earning trigger"), and is management doing what it said it would?

1. Snapshot

What the business does: Ather designs and sells premium electric scooters in India: the sporty 450, the family Rizta and, since 29 Aug 2026, the cheaper mainstream Konarc (the scooter built on the low-cost "EL" platform). It also earns high-margin money from a software pack (AtherStack Pro), accessories and servicing.

Figure	Value	Plain-English read
Market capitalisation	₹72,203 crore	What the whole company is worth on the market at scrape time. The share (₹1,822) sits right at its 12-month high, about three times its low. A lot of good news is already in the price.
Q2 FY27 revenue	₹1,464 crore	Sales for Jul-Sep 2026, up 63% on a year ago and up a fifth on Q1. Growth is still fast.
Net profit, Q2 FY27	₹1.5 crore	The first quarter ever with a profit after all costs. Tiny, but a year ago the same quarter lost ₹154 crore.
EBITDA (operating profit)	~0.8% of sales (₹12 crore)	Profit before interest, tax and depreciation, without other income. Management's own 4.9% figure includes interest earned on cash. Either way, the business now pays for itself at the operating level.
Adjusted gross margin	24.0%	What's left from each ₹100 of sales after the direct cost of the scooter. Up from 22.4% in Q1 despite raw materials costing more.
Wholesale volume	93,000 units	Scooters shipped to dealers, up from 65,000 a year ago (about 43% more). Registrations rose about 60% to 92,500.
Average price	₹1.64 lakh	Up ₹14,000 from ₹1.50 lakh two quarters ago. Buyers paid more and kept buying.

2. Concall coverage

Quarter	Call date	How it was read
Q4 FY25 → Q4 FY26 (5 calls)	May 2025 - May 2026	Carried forward from the Q4-2026 and Q1-2027 reports
Q1 FY27 (prior boundary)	03 Aug 2026	Carried forward from the Q1-2027 report
Q2 FY27 (Jul-Sep 2026)	26 Oct 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter. The backstory comes from the prior report. Seven calls now cover about 18 months since listing, so the track record is still short.

★ Latest concall highlights - Q2 FY27 (call held 26 Oct 2026)

- **First net profit, and the CEO played it down.** Revenue rose 63% and the company posted its first-ever profit after tax. Tarun Mehta said PAT "can go up and down" in the near term and volume is what to watch. Read: break-even is real, but he isn't promising a straight line.
- **Demand still outruns the factory.** Pre-orders hit about 1.8 lakh (more than double a year ago) and enquiries passed 10 lakh. Management reckons about 20,000 scooters a month of demand is going unserved. Read: Ather sells everything it makes. The limit is still capacity.
- **More capacity approved the same day.** Hosur goes from 35,000 to 41,000 a month later this quarter. Aurangabad (AURIC) Phase 1 gets an extra 12,000 a month on top of its 42,000, live by Q2 FY28. Total installed capacity goes to 11.4 lakh a year, up from a planned 9.2 lakh. AURIC trial production starts "in the next few weeks" and installation finishes by Q4 FY27. Read: capacity more than doubles over the next year if the ramp holds.
- **Commodities were worse than hoped, margins rose anyway.** Aluminium, copper, plastics and memory chips all cost more than management expected in Q1. Price hikes and cost cuts added about 5.3 points of gross margin (management calls this structural). Steering buyers to richer variants and cutting incentives added about 2.7 points, which it calls a temporary lever. No more price hikes planned for now. Read: about a third of the margin gain could reverse once supply catches up.
- **Konarc launched on time, entry variant held back.** Under 10,000 sold in its first month (September), in a few northern states. The cheapest version (SR1) moves to Q4 so it doesn't eat into higher-margin sales while supply is short. Like-for-like, Konarc already costs a few thousand rupees less to make than Rizta, and management thinks it could carry 6-7 points better gross margin over time.

Tone: upbeat ("inquiries have honestly gone parabolic") but more careful on profit than last quarter. It still won't give a motorcycle timeline.

Business mix & capacity (quick-glance panel)
Domestic vs export: essentially all sales are in India. Exports aren't broken out. Non-vehicle revenue (software, accessories, service) rose to 15% of revenue, and more than half of that is AtherStack Pro, which carries 80-90% gross margin. Read: a fully Indian business with a growing high-margin add-on.
Capacity: Hosur is maxed out at 35,000 a month and production averaged 33,000 a month in Q2. Read: no headroom at all until the Hosur add-on (this quarter) and AURIC (trials within weeks, full ramp over about two quarters).

★ Since our last report

Builds on the Q1-2027 report (boundary call 03 Aug 2026). Prior verdicts: **Trigger YES · Management consistent YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: volume through fixed costs → profit	First positive EBITDA, wafer-thin	First net profit, gross margin up 1.6 points on Q1, revenue +63%	Confirmed
Commodity squeeze capped at 1-2 more points	Looked near its top, mostly covered by prices	Costs rose more than expected, but price, cost cuts and mix more than made up for it	Better outcome, wrong forecast
EL / Konarc launch on 29 Aug	On schedule	Launched on the day. Entry variant pushed to Q4 on purpose	Delivered
AURIC trials from festive season, steady output from January	On track, watch the ramp	Trials "in the next few weeks", installation done by Q4 FY27, two quarters to ramp	On track, slightly late
Store expansion paused	To restart after AURIC	Fewer than 50 stores added in two quarters. Restart from end of Q3, visible in Q4	On track
Motorcycles "two years plus"	Steady framing	"No guidance right now", no timeline	Softened

Verdict change this quarter: both verdicts unchanged at YES. The trigger got stronger with the first net profit and a bigger capacity plan. The consistency record has small dents (a missed commodity call, a trial start a few weeks behind), not broken promises.

3. Earning-trigger thesis ★

The story is the same and it's now in the profit line. Ather sells every scooter it can make, at rising prices, and each extra scooter goes through a cost base that barely moves. That's what took it from a ₹154 crore quarterly loss a year ago to a small profit now. The next leg is simply output: Hosur's add-on this quarter, then AURIC, then a bigger AURIC. Konarc opens up the larger mass market at better unit costs. The risks are a slow factory ramp, commodities staying high once the temporary margin lever goes away, and a share price that already expects a lot.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Scale → profit	Focus on volume. PAT "will take care of itself"	First net profit. Operating margin up from -14.8% to +0.8% in a year	Now	Strong	↑ improving: net profit reached
Demand surge	About 20,000 a month of unmet demand	Pre-orders about doubled, registrations +60%	Now	Strong	unchanged: still supply-limited
New capacity (Hosur add-on, AURIC)	11.4 lakh a year by Q2 FY28	Board approved. AURIC lines built, trials within weeks	Q3 FY27 - Q2 FY28	Moderate-Strong: not producing yet	↑ bigger plan
Konarc (EL platform)	Cheaper to make, may carry 6-7 points better margin than Rizta	Launched. Under 10,000 sold in its first month	FY27-FY28	Moderate: early	↑ launched on time
Software and add-ons	High-margin stream grows with the fleet	Attach rate 94%, non-vehicle 15% of revenue	Ongoing	Strong	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25 call (May 2025)	FY26-FY27 "transformational for the P&L"	Deep operating loss in FY25 → first net profit in Q2 FY27	Delivered
Q1 FY26 (Aug 2025)	AURIC go-live "next year"	Slipped 2-3 months earlier. Trials now late 2026, installation by Q4 FY27	Partly
Q4 FY26 (May 2026)	EL launch by FY27 festive season	Konarc launched 29 Aug 2026	Delivered
Q1 FY27 (Aug 2026)	At most 1-2 more points of commodity pressure	Pressure was bigger. Margin still rose via price and mix	Missed forecast, beat outcome
Q1 FY27 (Aug 2026)	Hold prices after the hikes	No further hikes in Q3. Prices held	Delivered
Q1 FY27 (Aug 2026)	AURIC trial from festive season	Trials "in the next few weeks" as of 26 Oct	Partly (small slip)

Narrative drift: very little. The roadmap (Rizta, then Konarc, then AURIC, then a wider network) is the same one told for seven calls, and the steps keep landing in order. Two things moved. Management's commodity forecast was wrong, though it said so openly. And the motorcycle timeline went from "two years plus" to no timeline at all. The new disclosure splitting the margin gain into structural and temporary parts is a good sign. It's the kind of honesty that makes the other numbers easier to trust.

5. Bottom line - two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged (stronger)

What moved it: the first net profit and a bigger capacity plan. The trigger is concrete and in the numbers. Volume is rising into a fixed cost base, prices are rising, and a high-margin software stream sits on top. Demand still beats supply, and the factories to close that gap are weeks to months away. The caveats: profit is wafer-thin, about 2.7 points of gross margin are a lever management says it may give back, commodities are still high, and the share price leaves little room for a slow ramp.

Management consistent? → YES

vs last quarter: unchanged

Nothing on this call breaks the record. Konarc launched on the day promised, prices held as guided, and break-even turned into a net profit. The dents are small: the commodity forecast was too hopeful, AURIC trials are running a few weeks behind the festive-season goal, and the motorcycle timeline has gone quiet. Management flagged each one itself. The record is still only about 18 months long.

Sources: Ather Energy Q2 FY27 earnings-call transcript (26 Oct 2026, filed 30 Oct 2026, via Screener.in). Prior Q1-2027 and Q4-2026 concall-tracker reports (calls May 2025 - Aug 2026). Screener.in snapshot and quarterly table at scrape time (operating margin and net profit are Screener's). Figures are as stated by management unless marked otherwise. Educational read-through, not investment advice. Do your own due diligence.